

**SUBSTITUTE FOR
HOUSE BILL NO. 5761**

A bill to amend 1994 PA 451, entitled
"Natural resources and environmental protection act,"
by amending section 36202 (MCL 324.36202), as amended by 2025 PA
74.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 36202. (1) The agricultural preservation fund is created
2 ~~within~~**in** the state treasury.

3 (2) The state treasurer may receive money or other assets from
4 any source for deposit into the fund, including federal funds,
5 other state revenues, gifts, bequests, and other donations. The
6 state treasurer shall direct the investment of **money in** the fund
7 and ~~shall credit to the fund~~ interest and earnings from **the**
8 **investments to the** fund. ~~investments.~~



1 (3) ~~Money~~ **Except as otherwise provided in this section, money**
2 in the fund at the close of the fiscal year ~~shall remain~~ **remains** in
3 the fund and ~~shall~~ **does** not lapse to the general fund.

4 (4) The department is the administrator of the fund for audits
5 of the fund.

6 (5) Money in the fund may be expended, ~~upon~~ **on** appropriation,
7 as follows:

8 (a) Not more than \$1,700,000.00 annually may be expended for
9 the administrative costs of the department and the board in
10 implementing this part and part 361.

11 (b) After expenditures for the administrative costs under
12 subdivision (a), money in the fund may be expended, ~~upon~~ **on**
13 approval of the board, to provide grants to local units of
14 government ~~pursuant to~~ **under** section 36203.

15 (c) If, after expenditures under subdivisions (a) and (b), the
16 amount of money remaining in the fund exceeds \$5,000,000.00, money
17 in the fund may be expended, ~~upon~~ **on** approval of the board,
18 ~~pursuant to~~ **under** part 361 for the purchase of development rights
19 to farmland or the acquisition of agricultural conservation
20 easements.

21 (6) Expenditures of money in the fund as provided in this part
22 are consistent with the state's interest in preserving farmland and
23 are for an important public purpose.

24 (7) **For the fiscal year ending September 30, 2027,**
25 **\$2,000,000.00 must be transferred from the fund to the state**
26 **general fund.**

27 (8) **For the fiscal year ending September 30, 2028,**
28 **\$2,000,000.00 must be transferred from the fund to the state**
29 **general fund.**



1 (9) For the fiscal year ending September 30, 2029,
2 \$2,000,000.00 must be transferred from the fund to the state
3 general fund.